Northern India Jvg Investors & ... vs Vk Sharma & Ors. on 4 November, 2011

Author: Manmohan

Bench: Manmohan

$~
* IN THE HIGH COURT OF DELHI AT NEW DELHI

+ CCP(CO.) 5/2006 & CO. APPL. 1031/2009 IN CO. PET. 265/1998

NORTHERN INDIA JVG
INVESTORS & DEPOSITORS
WELFARE ASSOCN. ..... Petitioner
Through None
versus

VK SHARMA & ORS. ..... Respondents

Through Mr. Shailendra Singh with Mr. Rajesh Kumar, Advocates for respondent-

Mr. V.K.Sharma.

Mr. Rajiv Bahl with Mr. Manish Bishnoi, Advocates for Official Liquidator.

Ms. Swati Setia, Advocate for Reserve Bank of India.

Mr. Mayur R. Shah, Advocate for applicants in CA 1031/2009.

% Date of Decision: 04th November, 2011

CORAM:
HON'BLE MR. JUSTICE MANMOHAN

1. Whether the Reporters of local papers may be allowed to see the judgment? Yes.

2. To be referred to the Reporter or not? Yes.

3. Whether the judgment should be reported in the Digest? Yes. CCP(CO.) 5/2006 IN CO. PET. 265/1998

1. On 28th March, 2000, the Hon'ble Supreme Court was pleased to grant bail to Mr. V.K. Sharma, former Managing Director of M/s. JVG Group of Companies. The relevant portion of the aforesaid order as culled out from (2000) 9 SCC 449 is reproduced hereinbelow:-

> "4. Nonetheless, we exercised our judicial considerations seriously to find out a solution in the peculiar situation. We were benefitted by the arguments addressed by all the learned Counsel in this case. We, therefore, persuade ourselves to grant the following reliefs to the petitioner:
>
> 1. If the petitioner is arrested in connection with any criminal case in his capacity as Managing Director/Director of JVG Group of Companies the arresting officer shall release him on bail on his executing a bond to the satisfaction of the arresting officer.
>
> 2. Such relief shall be made after getting an assurance from him that he will be present in the court concerned on the days when his case is posted. However, we make it clear that it is open to the petitioner to apply to the court concerned for exempting him from personal appearance on condition that a counsel on his behalf would be present on such posting dates and he would not dispute his identity as the particular accused in that case, and further that he would make himself available on any date when his presence is imperatively needed in that court.
>
> 3. We permit the petitioner to move the appropriate High Courts for bringing all the cases pending in different courts within the territorial jurisdiction of that High Court to one single court or more than one court (depending upon the number of cases or the width of the area of the State is concerned).
>
> 4. This order will come into effect only if the petitioner would surrender his passport in this Court. Shri Shanti Bhushan, learned senior counsel expressed a doubt that petitioner would have already surrendered his passport before another court pursuant to the order passed. In that case he can satisfy the Registrar General of this Court by an affidavit of the situation and the Registrar General can intimate the jail authorities concerned of that position.
>
> 5. We make it clear that it is open to the investigating agency in any case to move for cancellation of bail if any such investigating agency finds that petitioner is misusing the liberty granted by this order."

2. However, as Mr. V.K. Sharma is not cooperating in the present proceedings, this Court is not able to discharge its function inasmuch as it is neither able to adjudicate the claims of the hundred of claimants nor able to sell any asset of the company in liquidation or repay the investors.

3. This Court has been informed that Dy. Commissioner of Police, Economic Offences Wing (EOW), Crime Branch, Delhi Police, New Delhi has filed an affidavit dated 13th January, 2011 before Hon'ble Supreme Court in Crl. M.P. 5792/2007 in W.P.(Crl.) 256/1999 mentioning various cases in

which FIR against Mr. V.K. Sharma is lodged. The EOW in its affidavit has stated that the accused Mr. V.K. Sharma keeps on floating number of interconnected/linked companies and is a director of companies, namely, M/s. Yusuf Eng., M/s. Ayushi Buildestates Pvt. Ltd., Authorised signatory of M/s. Vian Infrastructure Ltd. and is involved in conspiracy with M/s. PSG Developers & Engineers Ltd.

4. The persistent non-cooperative attitude of Mr. V.K. Sharma would be apparent from the following facts :-

> (i) This Court on 19th January, 2011 had directed Mr. V.K. Sharma, ex-Director of company in liquidation to appear before Md.

Shakeel, Assistant Official Liquidator on 8th February, 2011 at 11.00 a.m. and subsequently on each and every subsequent date fixed by the Official Liquidator till all clarifications were furnished and all defects in statement of affairs were removed. This direction was felt necessary in view of the fact that last statement of affairs filed way back in 2005, was found defective by the office of the Official Liquidator.

(ii) However, Mr. V.K. Sharma in utter disregard to this Court's order did not appear on 8th February, 2011 before the Assistant Official Liquidator. He also did not appear on any other subsequent date.

(iii) This Court is informed that the office of Official Liquidator had also written several letters and requested Mr. V.K. Sharma to appear and extend cooperation. In fact, pursuant to the order dated 27 th November, 2010 passed by this Court, the Official Liquidator vide its letters dated 14th December, 2010 and 13th January, 2011 had requested Mr. V.K. Sharma to produce before it necessary documents like audited balance sheets, profit and loss account, title deeds and other statutory records with regard to various properties. Mr. Sharma has till date not furnished the said documents to the Official Liquidator.

(iv) This Court vide order dated 20th May, 2010 had appointed Mr. J.P. Aggarwal as one man Claim Committee. Mr. Aggarwal also issued several notices to Mr. V.K. Sharma to remain personally present before the said Committee on 26th May, 2010, 7th June, 2010, 10th June, 2010, 5th July, 2010, 19th July, 2010, 27th July, 2010, 12th August, 2010, 26th August, 2010, 6th September, 2010, 21st September, 2010, 23rd September, 2010 and 5th October, 2010. Out of the aforesaid dates, Mr. V.K. Sharma remained personally present before the Committee only on 27th July, 2010 and 26th August, 2010.

(v) It is pertinent to mention that this Court vide order dated 18th July, 2011 was constrained to remand claims of 200 investors from Hyderabad to a fresh Committee only on the ground that principles of natural justice had been violated inasmuch as the investors had not had an opportunity to cross-examine Mr. V.K. Sharma. As a consequence, the painstaking efforts of earlier Committee in adjudicating the claims were rendered totally futile and this Court was constrained to constitute a fresh Committee at the expense of significant time and costs.

(vi) In fact, this Court is informed that even as of today, Mr. V.K. Sharma is not cooperating with the new Committee. As a result, the matter with regard to Hyderabad properties has been delayed and this, in turn, has resulted in hardship to the poor investors who have not received a single penny till date because till the numerous claims with respect to various properties of the company (in liquidation) are settled, this Court cannot proceed further.

(vii) In a bid to further expedite the resolution of the matters, this Court on 20th July, 2011 had constituted a Committee consisting of Mr. Rajiv Bahl, Mr. Manish K. Bishnoi, Advocates for Official Liquidator, Official Liquidator attached to this Court and Mr. Anand Verma, Company Secretary for the purpose of ascertaining details of properties which can be put to immediate sale and had also directed Mr. V.K. Sharma to appear along with his counsel, Mr. Shailendra Singh before the said Committee.

(viii) Pursuant to the aforesaid order, the said Committee has so far held seven meetings but Mr. V.K. Sharma did not appear on any date before the Committee. However, Mr. Shailendra Singh along with Ms. Seema Malhotra, Company Secretary appeared before the Committee but complete information could not be given to the Committee as it appears to this Court that JVG Group was being closely managed by Mr. V.K. Sharma and only he could provide the relevant information.

(ix) It is pertinent to mention that on various occasions this Court had granted indulgence to Mr. V.K. Sharma requiring his appearance either in this Court or before claim Committee or any other Committee appointed by this Court. Each and every date was fixed after consulting his counsel, who promised on each occasion that Mr. V.K. Sharma would appear on the appointed date. Mr. V.K. Sharma appeared on none of the said dates.

(x) This Court vide its order dated 9th August, 2011directed that on the next date of hearing, that means, on 12th September, 2011 Mr. V.K. Sharma should be personally present in Court failing which this Court would initiate steps for cancellation of his bail. It is also recorded in the said order that date has been fixed with the consent of Mr. V.K. Sharma's counsel. The order dated 9th August, 2011 is reproduced hereinbelow for ready reference:-

> "Mr. Sandeep Sethi states that he has only yesterday filed some documents. However, the same are not on record. Let the same be brought on record after copies of the same have been furnished to the counsel for the Official Liquidator.
>
> It is pertinent to mention that Mr. V.K. Sharma, Ex. Chairman/Managing Director of the JVG Group of Companies is not personally present in Court despite the categorical order dated 13th July, 2011. Learned counsel for Mr. V.K. Sharma states that Mr. V.K. Sharma is unwell and is undergoing treatment for Arthritis in Calicut. But neither any application for exemption nor any medical record has been filed.
>
> I may mention that today's date had been fixed with the consent of counsel for Mr. V.K. Sharma. Though, I was inclined to cancel the bail of Mr. V.K. Sharma, but as the counsel for Mr. V.K. Sharma has assured this Court that Mr. V.K. Sharma would be

personally present in Court on the next date of hearing, I defer my orders.

List the matter for further consideration on 12th September, 2011. On the next date of hearing, Mr. V.K. Sharma would be personally present in Court, failing which this Court would be constrained to initiate steps for cancellation of bail of Mr. V.K. Sharma on the ground of non- cooperation."

(xi) But in utter disregard to this Court's order, Mr. V.K. Sharma remained absent in Court on 12th September, 2011.

(xii) Thereafter in the criminal petition filed by the Official Liquidator under Section 454(5) of the Companies Act, 1956 this Court was constrained to issue non bailable warrants against Mr. V.K. Sharma as he did not appear on the date when the charges/accusations were to be framed under Section 251 of Cr. P.C.

5. In fact, on a perusal of the report of Serious Fraud Investigation Office (SFIO), a Central Government investigating agency constituted under Section 237 of the Companies Act, 1956 and after going through the claims preferred by various claimants with regard to properties of company in liquidation, prima facie this Court finds that the business modus operandi of M/s. JVG Group under the management of Mr. V.K. Sharma was to buy very valuable properties but at the same time create multiple title disputes with regard to the same. Without active cooperation of Mr. V.K. Sharma none of the properties can be sold and no money can be repaid to the investors.

6. In view of aforesaid, this Court is convinced that Mr. V.K. Sharma is clearly misusing the liberty granted to him. Further, this Court is of the opinion that it will not be able to make any purposive headway in the proceedings unless Mr. V.K. Sharma appears before this Court as well as Official Liquidator and offers full cooperation.

7. Consequently, the Official Liquidator attached to this Court is directed to bring the aforesaid facts to the notice of the Hon'ble Supreme Court which is seized of the matter.

List on 29th February, 2012.

Order dasti under the signatures of Court Master. CO. APPL. 1031/2009 IN CO. PET. 265/1998 This is an impleadment application filed on behalf of a group of investors of company in liquidation, But as the Official Liquidator is already representing the investors, this Court is of the opinion that there is no necessity to implead any particular group of investors in the present proceedings.

It is, however, clarified that the pleadings filed by the present applicants can be relied upon by the Official Liquidator or by any other party in proceedings pending against the JVG Group of companies.

With the aforesaid observations, the present application stands disposed of.

MANMOHAN,J NOVEMBER 04, 2011 rn